Corporate Strategy & Stakeholder Analysis Report

1. Corporate Strategy Examples

- **Horizontal Integration:** A company acquiring or merging with a direct competitor in the same industry and at the same stage of the supply chain.
  Example: **Disney acquiring 21st Century Fox** (expanding content catalog and market share in entertainment production).
- **Backward Vertical Integration:** A company expanding upstream to control inputs or raw materials previously provided by suppliers.
  Example: **Apple designing its own M-series processors** (taking over chip design previously handled by third-party suppliers like Intel).
- **Forward Vertical Integration:** A company expanding downstream to control distribution channels or direct customer touchpoints.
  Example: **Tesla opening direct-to-consumer showrooms and service centers** (bypassing third-party car dealerships).
- **Diversification:** A company entering an entirely new product category or market segment outside its core business.
  Example: **Amazon launching Amazon Web Services (AWS)** (expanding from e-commerce retail into cloud computing infrastructure).

2. Advantages and Disadvantages Matrix

Strategy	Major Advantages	Major Disadvantages
Horizontal Integration	• **Economies of Scale:** Reduces unit costs by scaling production. • **Market Power:** Reduces direct competition and increases market share. • **Synergies:** Combines distribution channels, technology, and marketing resources.	• **Regulatory Hurdles:** Risk of antitrust scrutiny and monopoly laws. • **Culture Clash:** High failure rate during corporate post-merger integration. • **Diseconomies of Scale:** Risk of organizational bureaucracy.
Vertical Integration (Backward & Forward)	• **Supply Chain Control:** Ensures quality, lead times, and raw material access. • **Cost Reduction:** Eliminates intermediary margins and supplier markups. • **Protected IP:** Keeps proprietary processes and tech fully in-house.	• **High Capital Commitment:** Requires significant upfront capital investment. • **Reduced Flexibility:** Harder to pivot if core market technology shifts. • **Capacity Mismatch:** In-house supply may not perfectly align with demand.
Diversification (Related & Unrelated)	• **Risk Spreading:** Dampens impact of downturns in a single industry. • **New Revenue Streams:** Taps into faster-growing sectors. • **Resource Utilization:** Repurposes core competencies (e.g., infrastructure).	• **Management Distraction:** Loss of focus on the primary core business. • **Lack of Expertise:** High learning curve in unfamiliar domains. • **Capital Inefficiency:** Risk of cross-subsidizing failing business units.

3. Case Study: Microsoft Corporation

Key Stakeholders

- **Internal Stakeholders:** Software engineers, product managers, executive management, support teams.
- **Capital Market Stakeholders:** Institutional investors, retail shareholders, financial analysts.
- **Market Stakeholders:** B2B enterprise clients (Azure/Office 365), B2C consumers (Xbox/Windows), developer ecosystems (GitHub), retail hardware partners.
- **External / Contextual Stakeholders:** Government regulatory bodies (FTC, European Commission), open-source communities, cybersecurity monitoring agencies.

Growth Strategy Classification

Microsoft employs a **hybrid growth strategy** combining **Related Diversification** and **Strategic Horizontal Acquisitions**:

- **Related Diversification (Organic & Inorganic):** Expanding into high-growth adjacencies like Cloud Infrastructure (**Azure**) and Artificial Intelligence (**OpenAI partnership**).
- **Horizontal Integration:** Acquiring major competitors/platforms in adjacent domains—such as **LinkedIn** (Professional Networking), **GitHub** (Developer Ecosystem), and **Activision Blizzard** (Gaming)—to expand user reach and integrate data networks into its ecosystem.

4. Stakeholder Analysis: "ABC Company" BNPL App (Sri Lanka)

Building a Buy-Now-Pay-Later (BNPL) application for the Sri Lankan domestic market requires managing regulatory, financial, and consumer interest groups across power and interest levels:

Stakeholder Category	Specific Group	Power Level	Interest Level	Management Strategy & Key Focus
Primary Financial / Regulatory	Central Bank of Sri Lanka (CBSL) & FIU	High	High	**Manage Closely:** Mandatory compliance with payment gateway regulations, KYC/AML laws, data residency rules, and consumer lending guidelines.
Banking & Credit Infrastructure	Partner Banks & Credit Bureaus (CRIB)	High	Medium	**Keep Satisfied:** Integration with local banking rails (LANKAPAY), BIN routing, liquidity lines, and default rate reporting.
Merchants & Retailers	E-commerce & Offline Retail Partners	High	High	**Manage Closely:** Onboarding friction, merchant discount rates (MDR), settlement speeds, and POS/e-commerce SDK support.
End Consumers	Sri Lankan Shoppers (Gen Z, Millennials, Unbanked)	Medium	High	**Manage Closely & Inform:** Clear 0% interest terms, transparent installment schedules, localized UI (Sinhala/Tamil/ English), and responsive customer support.
Internal Team	Engineers, Product Managers, Fraud Ops	Low	High	**Keep Informed:** System stability, real-time risk evaluation engine, security protocols, and release pipelines.
Infrastructure Suppliers		Low	Low	**Monitor:** SLA management, infrastructure uptime, and local OTP verification costs.

Stakeholder Category	Specific Group	Power Level	Interest Level	Management Strategy & Key Focus
	Cloud Providers (AWS/GCP), SMS Gateways			